

QUESTION 4 (23 MARKS)
a)

Iman Indah Boutique Bank Reconciliation at 31 August 2018✓		
Balance of bank statement	RM	RM
(+) Deposit in transit:		
Umar		5256✓
Deposit		
Sales	2400✓	
	190✓	
	700✓	3290
(-) Outstanding Cheque:		8546
Hassan Enterprise		
Abu Hurairah	2640✓	
Adjusted bank statement balance	5000✓	(7640)
		906✓
Balance at cash book		
(+) Deposit		(4504) ✓
Credit Transfer	2000✓	
Dividend	300✓	
Error – Insurance	200✓	
	3600✓	6100
(-) Standing order		1596
Bank charges	420✓	
Direct Debit	70✓	
	200✓	(690)
Adjusted cash book balance		906

(16 x 1/2 = 8 marks)

i)

Date	Description	Debit	Credit
18	Accounts receivable	3,520,000✓	
31	Sales		3,520,000✓
	Sales returns	5,000✓	
	Accounts receivable		5,000✓
	Bank	2,730,000✓	
	Accounts receivable		2,730,000✓
	Accounts receivable	30,000✓	
	Bad Debt Recovered AFDD		30,000✓
	Bank	30,000✓	
	Accounts receivable		30,000✓
	Allowance for doubtful debts Accounts	95,000✓	
	Accounts receivable		95,000✓

(12 x 1/2 = 6 marks)

ii)

Accounts Receivable

2018			2018		
Jun 1	Balance b/f	760,000✓		Sales returns	5,000✓
	Sales	3,520,000✓		Bank	2,730,000✓
	Bad debts recovered AFDD	30,000✓		AFDD	95,000✓
				Bank	30,000✓
				Balance c/f	1,450,000✓
					4,310,000
		4,310,000			

(8 x 1/2 = 4 marks)

Accounts Allowance For Doubtful Debts					
2018	Accounts receivable	95,000✓	2018	Balance b/f	80,000✓
	Balance c/f	43,500✓	Jun 1	Bad debts exp	58,500
	AFDD (Net) = $3\% \times 1450,000$ = RM 43,500	138,500			138,500

(5 x 1/2 = 2.5 marks)

iii)

Date	Description	Debit	Credit
2018	Bad debts expenses	58,500 ✓	
Dec 31	Allowance For doubtful debt (to record bad debts expenses) ✓	28,500	58,500✓ 28,500

(3 x 1/2 = 1.5 marks)

iv) Accounts receivable RM1,450,000 ✓
 (-) AFDD (43,500) ✓
 Net Realizable Value 1,406,500 → Net realizable value

(2 x 1/2 = 1 marks)

QUESTION 5 (17 MARKS)

i. Periodic inventory system - FIFO

Ending inventory unit	✓ ✓ ✓ ✓ ✓ ✓ = (150 + 200 + 110 + 210) - (230 + 180) = 260
FIFO Cost of ending inventory	= 210 x 12.00 = 2520 ✓✓ = 50 x 11.50 = 575 ✓✓ = <u>3095</u> 2520 575 3095

✓ = 10 x 1/2 = 5

ii. Perpetual inventory system - Moving average

Date	Purchases	Cost of goods sold	Balance
June 1			✓ ✓ 150 x 10 = 1500
5	✓ ✓ 200 x 11.00 = 2200		✓ ✓ 350 x 10.57 = 3700
9		✓ ✓ 230 x 10.57 = 2431.10	✓ ✓ 120 x 10.58 = 1268.90
14	✓ ✓ 110 x 11.50 = 1265		✓ ✓ 230 x 11.02 = 2533.90
22		✓ ✓ 180 x 11.02 = 1983.60	✓ ✓ 50 x 11.02 = 550.30
25	✓ ✓ 210 x 12.00 = 2520 20 = 4200		✓ ✓ 260 x 11.81 = 3070.30
		Cost of goods sold ✓ = RM4414.70	✓ Cost of ending inventory = RM3070.30

✓ = 24 x 1/2 = 12

Question 6

DATE	ACCOUNT	DEBIT	CREDIT
APR 1	Land	40,000	
	Cash		40,000
May 1	Depreciation expense	2,667	
	Accumulated depreciation- Equipment		2,667
May 1	Accumulated depreciation- Equipment	*18,667	
	Cash	35,000	
	Equipment		40,000
	Gain on disposal $[35000 - (40000 - 18667)]$		13,667
	$*(40000/5 \times 2) + (40000/5 \times 4/12)$		
June 1	Cash	100,000	
	Land		40,000
	Gain on disposal		60,000
July 1	Equipment	20,000	
	Cash		20,000
Dec 31	Accumulated depreciation- Equipment	**30,000	
	Equipment		30,000
	**30000/5 x 5		
	Retire means disposal of NCA at the end of its useful life		
	Depreciation expense (30000/5)	6,000	
	Accumulated depreciation- Equipment		6,000
	ADJUSTING ENTRIES		
DEC 31	Depreciation expense (200000/20)	10,000	
	Accumulated depreciation- BUILDING		10,000
	Depreciation expense	4,000	
	Accumulated depreciation- Equipment		4,000
	$(80000 - 40000 - 30000)/5 = 2000$		
	$20000/5 \times 6/12 = 2000$		
	<u>4000</u>		

DATE	ACCOUNT	DEBIT	CREDIT
Jan 1	Cash	20,000	
	Note payable		20,000
Jan 5	Cash	10,400	
	Sales (10400/1.04)		10,000
	Sales tax payable		400
Jan 12	Unearned services revenue	9,000	
	Services revenue		9,000
Jan 14	Sales tax payable	5,800	
	Cash		5800

	Sales tax payable $6\% \times 50000$		3,000
Jan 25	Cash	18,720	
	Sales $(18720/1.04)$		18,000
	Sales tax payable		720
	ADJUSTING ENTRIES		
Jan 31	Interest expense $(20000 \times 8\% \times 1/12)$	133	
	Interest payable		133
	Warranty expense $(5\% \times 50000)$ $\rightarrow 1000 \text{ unit} \times \text{RM } 50$	2,500	
	Warranty payable or estimated warranty payable		2,500
Jan 30	Account Receivable Sales Sales tax payable $(6\% \times 50,000)$	53,000	50,000 3,000